



Insurance
INSURANCE FOR THE LIVING

INTERIM FINANCIAL STATEMENTS

31 MARCH 2020



Arpico Insurance PLC

STATEMENT OF COMPREHENSIVE INCOME

For the Three Months Ended 31 March

		Three Months Ended 31 March 2020 Unaudited	Three Months Ended 31 March 2019 Unaudited
	Note	Rs	Rs
Revenue		407,479,618	396,974,713
Gross written premium	3	341,110,296	332,850,331
Premium ceded to reinsurers	3	(10,455,524)	(12,517,360)
Net written premium		330,654,772	320,332,971
Other revenue			
Fee and commission income	3	7,629,446	7,371,948
Income from investments	5	67,772,799	59,574,756
Realise gain	3	-	7,566,721
Other income	3	1,422,601	2,128,318
Total other revenue		76,824,846	76,641,742
Net income		407,479,618	396,974,713
Net insurance benefits and claims paid		(58,478,946)	(67,640,928)
Net change in insurance claims outstanding		(4,798,748)	(1,921,204)
Underwriting and net acquisition costs		(152,808,114)	(156,241,066)
Change in contract liabilities - life fund		(86,090,612)	(61,692,012)
Other operating and administrative expenses		(83,657,476)	(89,142,620)
Net benefits and claims		(385,833,897)	(376,637,831)
Profit/(Loss) before tax		21,645,721	20,336,882
Income tax expense		-	-
Profit/(Loss) for the period		21,645,721	20,336,882

Arpico Insurance PLC

STATEMENT OF OTHER COMPREHENSIVE INCOME

For the Three Months Ended 31 March

		Three Months Ended 31 March 2020 Unaudited	Three Months Ended 31 March 2019 Unaudited
	Notes	Rs	Rs
Profit / (Loss) for the year		21,645,721	20,336,882
Other comprehensive income			
Other comprehensive income to be reclassified to profit or loss in subsequent periods			
Net change in fair value of available-for-sale assets		25,796,916	8,079,676
Fair value movement of AFS reserve transferred to life fund		(25,796,916)	(8,079,676)
Other comprehensive income not to be reclassified to profit or loss in subsequent periods			
Re-measurement gain on defined benefit plan		-	-
Other comprehensive income		-	-
Total comprehensive income for the period		21,645,721	20,336,882

Arpico Insurance PLC

STATEMENT OF FINANCIAL POSITION

As at 31 March 2020

	Notes	31-Mar-20 Unaudited Rs.	31-Dec-19 Audited Rs.
Assets			
Property, plant and equipment		59,853,645	60,142,521
Right of use asset	7	115,900,613	119,555,923
Intangible asset		609,906	675,531
Financial assets	8	1,938,961,230	2,376,948,901
Loans to life policy holders		311,712,557	286,270,410
Reinsurance receivable		72,414,967	68,351,852
Amounts due from related party		44,712,284	51,716,672
Premium receivable		58,315,411	69,528,421
Other assets		65,779,899	103,514,706
Deferred tax asset		215,578,586	215,578,584
Cash and cash equivalents		777,677,587	295,514,820
Total assets		3,661,516,683	3,647,798,341
Equity and liabilities			
Shareholders' equity			
Stated capital		675,564,870	675,564,870
Revenue reserves		1,006,527,376	984,881,655
Total shareholders' equity		1,682,092,246	1,660,446,525
Liabilities			
Insurance provision - life	9	1,638,126,369	1,562,743,699
Employee benefit obligation		12,674,799	11,452,107
Reinsurance creditors		98,656,040	102,961,206
Lease creditors		132,998,786	128,171,017
Amounts due to related party	11	16,548,289	7,203,351
Financial liabilities		33,164,346	132,994,495
Other liabilities		47,255,809	41,825,940
Total liabilities		1,979,424,437	1,987,351,816
Total liabilities and shareholders' equity		3,661,516,683	3,647,798,341

These financial statements are prepared in compliance with the requirements of the companies Act No. 07 of 2007.



 DGM -Finance & Operations
 (Melanga A Doolwala)

The board of directors is responsible for the preparation and presentation of these financial statements. Signed for and on behalf of the board.



 Director
 (Viville Perera)



 Director
 (Shiron Gooneratne)

The accounting policies and notes as set out in pages 8 to 12 form an integral part of these financial statements.

25/06/2020
Colombo

Arpico Insurance PLC

STATEMENT OF CASH FLOW
For the Three Months Ended 31 March

	Notes	2020 Rs.	2019 Rs.
Operating activities			
Receipts from policyholders		352,323,306	1,420,136,133
Payment to reinsurer		(14,760,690)	(22,163,574)
Claims paid		(82,774,144)	(187,608,303)
Reinsurance receipts in respect of claims		14,760,690	22,232,576
Other operating cash payments		(219,457,409)	(685,632,217)
Cash inflow from operating activities		50,091,753	546,964,615
Tax paid		(129,852)	10,042,573
Net cash flows from operating activities		49,961,900	557,007,188
Investing activities			
Purchase of property and equipment		(5,786,804)	(26,016,827)
Purchase of intangible asset		-	-
Disposal of property plant and equipment		-	-
Net drawdown of investments		437,987,670	(681,283,636)
Net cash flows used in investing activities		432,200,866	(707,300,463)
Financing activities			
Proceeds from share issue		-	-
Stamp duty on share allotment		-	-
Dividend payment		-	-
Net cash flows used in financing activities		-	-
Net (decrease)/increase in cash and cash equivalents		482,162,766	(150,002,517)
Cash and cash equivalents at 1 January		295,514,820	320,778,531
Cash and cash equivalents at 31 December		777,677,587	170,776,015
Analysis of cash and cash equivalents			
Favourable balances			
Cash at hand		534,571	426,875
Cash at bank		777,143,016	170,347,140
Short term investments		-	-
		777,677,587	170,774,014
Unfavourable balances			
Bank overdrafts		-	-
Total cash and cash equivalents		777,677,587	170,774,014

Arpico Insurance PLC

STATEMENT OF CHANGES IN EQUITY

For the Three Months Ended 31 March

	Stated Capital	AFS reserve	Revenue Reserve	Total
	Rs.	Rs.	Rs.	Rs.
Audited balance as at 31 December 2018	675,564,870	-	756,752,988	1,432,317,858
Issue of share capital	-	-	-	-
Share issue expenses	-	-	-	-
Dividend declared	-	-	-	-
Other comprehensive income	-	-	-	-
Net profit for the period	-	-	228,128,667	228,128,667
Unaudited balance as at 31 December 2019	675,564,870	-	984,881,655	1,660,446,525
Issue of share capital	-	-	-	-
Other comprehensive income	-	-	-	-
Net profit for the period	-	-	21,645,721	21,645,721
Dividend declared	-	-	-	-
Unaudited balance as at 31 March 2020	675,564,870	-	1,006,527,376	1,682,092,246

Arpico Insurance PLC

Notes to Interim Financial Statements

- Figures in the these condensed interim financial statements for the period ended 31st March 2020 are provisional and unaudited.
- The condensed interim financial statements have been prepared in accordance with Sri Lanka Accounting and Auditing Standards, which requires compliance with Sri Lanka Accounting Standards promulgated by the Institute of Chartered Accountants of Sri Lanka (CA-Sri Lanka) and comply with the requirements of the Companies Act, No. 7 of 2007 and the Regulation of Insurance Industry Act, No. 43 of 2000 and the listing rules of the Colombo Stock Exchange. The same accounting policies and methods of computation as stated in the audited financial statements - 2018 have been followed in preparation of these condensed interim financial statements. Comparative information have been re-valued/re-classified where necessary, to conform to the current period recognition, measurement and presentations.

		Three Months Ended 31 March Audited 2020 Rs	Three Months Ended 31 March Unaudited 2019 Rs	Twelve Months Ended 31 December Audited 2019 Rs	Twelve Months Ended 31 December Unaudited 2018 Rs
3. REVENUE					
	Notes				
Gross written premium	4(a)	341,110,296	332,850,331	1,633,155,998	1,387,432,253
Premium ceded to reinsurers	4(b)	(10,455,524)	(12,517,360)	(91,607,375)	(41,327,272)
Net written premium		330,654,772	320,332,971	1,541,548,623	1,346,104,981
Fees and commission income		7,629,446	7,371,948	28,825,102	10,666,036
Investment income		67,772,799	59,574,756	257,763,250	205,215,741
Other operating revenue		1,422,601	2,128,318	8,272,107	6,935,285
Realise gain		-	7,566,721	21,327,018	13,823,318
Total revenue		407,479,618	396,974,713	1,857,736,099	1,582,745,361
4. NET WRITTEN PREMIUMS					
4(a) Gross premiums on insurance contracts					
Conventional policies		341,110,296	332,850,331	1,633,155,998	1,387,432,253
Total gross written premiums		341,110,296	332,850,331	1,633,155,998	1,387,432,253
4 (b). Premiums ceded to reinsurers on insurance contracts					
Conventional policies		(10,455,524)	(12,517,360)	(91,607,375)	(41,327,272)
Total premiums ceded to reinsurers		(10,455,524)	(12,517,360)	(91,607,375)	(41,327,272)
Total net written premiums		330,654,772	320,332,971	1,541,548,623	1,346,104,981
5. INVESTMENT INCOME					
Available-for-sale financial assets					
Interest income		16,303,945	16,142,431	58,575,161	62,528,313
Loans and receivables interest income		51,468,853	43,432,324	199,188,088	127,000,734
Total investment income		67,772,799	59,574,756	257,763,250	189,529,047

6. EARNINGS /(LOSS) PER SHARE

Basic earnings per share amounts is calculated by dividing the net profit/ loss for the year attributable to ordinary shareholders of the parent by the weighted average number of ordinary shares outstanding at the reporting date.

	Three Months Ended 31 March Unaudited 2020 Rs	Three Months Ended 31 March Unaudited 2019 Rs
Profit /(Loss) for the year	21,645,721	20,336,882
Weighted average number of ordinary shares (Nos)	67,556,487	67,556,487
Basic earnings / (loss) per ordinary share Rs	0.32	0.30

There have been no other transactions involving ordinary shares or potential ordinary shares between the reporting date and the date of completion of these financial statements.

7. Initial Application of SLFRS 16 - Leases

SLFRS 16 sets out the principles for the recognition, measurement, presentation and disclosure of leases. This introduces a single, on-balance sheet lease accounting model for lessees. The standard removes the current distinction between operating and financing leases and requires recognition of an asset and a financial liability to pay rentals for virtually all lease contracts. An optional exemption exists for short term and low-value leases. Lessor accounting remains similar to the current standard. Lessee will be required to separately recognize the interest expense on the lease liability and depreciation expense on the right-of-use asset.

The company as a lessee has applied SLFRS 16 as initial application of 01st January 2019 using the modified retrospective approach at the present value of the remaining lease payments discounted using the incremental borrowing rate, on the lease-by-lease basis and therefore the comparative information has not been restated and continuous to be reported under LKAS 17 at the present value of the remaining lease payments discounted using the incremental borrowing rate, on the lease-by-lease basis.

	31-Mar-20 Unaudited Rs	31-Mar-19 Unaudited Rs
7.1 Right of use lease asset		
Opening right of use lease asset as at 01st March	121,344,203	-
Additions of right of use lease asset during the period	-	-
Provision For Depreciation-Lease	(4,258,548)	-
Advance payment for leases	(1,185,042)	-
Closing right of use lease asset as at 31st March	115,900,613	-
7.2 Lease liability (lease creditor)		
Opening lease creditor as at 01st March	134,193,091	-
Additions during the period	(1,194,305)	-
Closing lease creditors as at 31st March	132,998,786	-

8. FINANCIAL ASSETS

The Company's financial instruments are summarised by categories as follows:

	31-Mar-20 Unaudited Rs	31-Mar-19 Unaudited Rs
Loans and receivables	1,609,675,713	1,786,073,466
Available-for-sale financial assets	329,285,517	377,226,061
Total financial instruments	1,938,961,230	2,163,299,526

The following table consists of the fair values of the financial investments together with their carrying values.

	31-Mar-20 Carrying value Unaudited Rs	31-Mar-20 Fair value Unaudited Rs	31-Mar-19 Carrying value Unaudited Rs	31-Mar-19 Fair value Unaudited Rs
Loans and receivables 8 (a).	1,609,675,713	1,609,675,713	1,786,073,466	1,786,073,466
Available-for-sale financial assets 8 (b).	329,285,517	329,285,517	377,226,061	377,226,061
Total financial instruments	1,938,961,230	1,938,961,230	2,163,299,526	2,163,299,526
8 (a). Loans and receivables				
			31-Mar-20 Unaudited Rs	31-Mar-19 Unaudited Rs
Investment in corporate debt			863,128,742	911,262,360
Investment in fixed deposit			425,987,900	351,446,297
Investment in repos			360,559,071	508,586,179
Investment in commercial papers			(0)	54,778,630
			1,649,675,713	1,826,073,466
Provision for impairment			(40,000,000)	(40,000,000)
			1,609,675,713	1,786,073,466
8 (b). Available for sale financial assets				
			31-Mar-20 Unaudited Rs	31-Mar-19 Unaudited Rs
Investments in government securities			329,285,517	377,226,061
			329,285,517	377,226,061

		31-Mar-20 Unaudited Rs	31-Dec-19 Audited Rs
9. INSURANCE CONTRACT LIABILITIES			
Balance as at beginning		1,562,743,700	1,325,869,400
Change in contract liabilities life fund			
Increase in life insurance fund before surplus transfer	9 (a)	86,090,612	452,938,333
Surplus transferred from share holders		-	(231,153,004)
Increase in life insurance fund		86,090,612	221,785,329
Movement in AFS reserve transferred to life fund		(10,707,944)	15,088,972
Balance as at end of the period		1,638,126,369	1,562,743,700

9 (a) Increase in life insurance fund before surplus transfer

	2020 March (Unaudited)		
	Gross Insurance Contract Liabilities	Reinsurance on Insurance contract liabilities	Net Insurance Contract Liabilities
	Rs	Rs	Rs
Premiums received	341,110,296	(10,455,524)	330,654,772
Liabilities paid for death, benefits and claims	(82,101,499)	18,823,804	(63,277,695)
Underwriting and net acquisition costs	(152,808,114)		(152,808,114)
Fees (deducted)/received	9,052,047		9,052,047
Investment return	46,124,078		46,124,078
Realise gain	-		-
Other operating and administrative expenses	(83,654,476)		(83,654,476)
As at 31 March 2020	77,722,332	8,368,280	86,090,612

	2019 December (Audited)		
	Gross Insurance Contract Liabilities	Reinsurance on insurance contract liabilities	Net Insurance Contract Liabilities
	Rs	Rs	Rs
Premiums received	1,633,155,997.57	(88,849,485)	1,544,306,513
Liabilities paid for death, benefits and claims	(383,409,486.20)	77,323,542	(306,085,944)
Underwriting and net acquisition costs	(657,650,246.86)	-	(657,650,247)
Fees (deducted)/received	39,317,921.64	-	39,317,922
Investment return	175,256,608.24	-	175,256,608
Realise gain	21,327,017.50	-	21,327,018
Other operating and administrative expenses	(363,533,537.07)	-	(363,533,537)
As at 31 December 2019	464,464,275	(11,525,942)	452,938,333

INSURANCE CONTRACT LIABILITIES - LIFE

The valuation of the Insurance Contract Liabilities have been carried out by the consultant actuaries for the year ended 31st December 2019 and based on that adequate provisions have been made in these Condensed Consolidated Interim Financial Statements.

Liability Adequacy Test (LAT)

The Company carried out a Liability Adequacy Test (LAT) for the period ended 31st December, 2019 in respect of Life Insurance Contract Liabilities (Insurance Provisions) as required by SLFRS 4 - Insurance Contracts with the assistance of an Independent Consultatant M/S Acturial Partners. Based on that valuation, the recorded liabilities are adequate to meet future obligations arising from Life Insurance Contracts in light of estimated future cash flows.

Arpico Insurance PLC

Notes to Interim Financial Statements

10. TAXATION AND DEFERRED TAX

Arpico Insurance PLC is liable for income tax at 28% (2018 -28%)

The taxation basis of life insurance business changed from 01 April 2018 with the coming into effect of the Inland Revenue Act No. 24 of 2017 where a surplus based taxation basis is adopted replacing what was commonly known as "I-E" basis of taxation. However, the profits of Life Shareholders' fund will be taxed along a basis of "I-E".

Deferred taxation is provided using the liability method, providing for temporary differences between the carrying amounts of assets and liabilities for financial reporting purposes and the tax base of assets and liabilities, which is the amount attributed to those assets and liabilities for tax purposes. The amount of deferred tax provided is based on the expected manner of realization or settlement of the carrying amount substantively enacted by the reporting date.

Deferred tax assets, including those related to temporary tax effects of income tax losses and credits available to be carried forward, are recognized only to the extent that it is probable that future taxable profits will be available against which the asset can be fully utilized. Deferred tax assets, if any, are reviewed at each reporting date and are reduced to the extent that it is no longer probable that the related tax benefit will be realized.

Accordingly the company made an assessment of future taxable profits and identified that total tax losses can be claimed within the prescribed period of the new Act. Accordingly a deferred tax asset has been recognized amounting to Rs. 215 Mn.

11. AMOUNTS DUE TO RELATED PARTY

Related Party	Relationship	31-Mar-20 Unaudited Rs	31-Dec-19 Audited Rs
Richard Pieris Distributors Limited	Affiliate	3,204,491	4,378,458
Arpitech (Pvt) Ltd	Affiliate	362,367	369,173
Arpico Interiors (Pvt) Ltd	Affiliate	592,927	2,015,019
Richard Pieris Company PLC	Affiliate	11,947,804	-
RPC Logistics (Pvt) Ltd	Affiliate	440,700	440,700
		16,548,289	7,203,351

12. CONTINGENT LIABILITIES

Contingent liabilities are not recognized in the Statement of Financial Position but disclosed if there is a possible future obligation as a result of a past event or if there is a present obligation as a result of a past event but either a payment is not probable or the amount cannot be reasonably estimated as at the date of Statement of Financial Position. As at the 31st March 2020 ,end of the interim period no material capital commitment and contingencies approved by the board and contracted for which no provision has been made in interim financial statements.

13. EVENTS OCCURRING AFTER THE REPORTING DATE

The directors give due consideration to and where necessary adjustments or disclosures are made in the current Financial Statements in respect of material post Statement of financial position events as appropriate. There have been no material event occurring after the reporting date that require adjustments to or disclosure in the interim financial statements.

Arpico Insurance PLC

Notes to Interim Financial Statements

For the Three months Ended 31 March

Share Information
Top 20 Shareholders

<u>Name of the Shareholder</u>	<u>Shareholding</u>	<u>% on Issued Shares</u>
1 KEGALLE PLANTATIONS PLC	26,685,001	40.29
2 RICHARD PIERIS DISTRIBUTORS LIMITED	17,790,001	26.86
3 RICHARD PIERIS AND CO PLC	15,125,001	22.84
4 MR.J.P.PAUL	1,729,106	2.61
5 MR.C.S.N.SILVAPULLE	668,399	1.01
6 MR.S.SIVASHANTH	479,415	0.72
7 MR.H.V.SENAWEERA	440,053	0.66
8 MRS.M.P.B. FERNANDO	425,000	0.64
9 MR.B.A.R.DISSANAYAKE	200,000	0.30
10 MR.A.P.ARUMUGAMPILLAI	200,000	0.30
11 MRS.M.S.E.V.E.A.U. VON STUMM	150,000	0.23
12 MERCHANT BANK OF SRI LANKA & FINANCE PLC/S	150,000	0.23
13 PEOPLES LEASING & FINANCE PLC/MR.K.J.GAMAGE	150,000	0.23
14 MR.T.A.N.GOMIS	121,143	0.18
15 MR.M.L.A.BENEDICT	115,530	0.17
16 MR.S.A.OBEYESEKERE	103,300	0.16
17 FLYBRUNEI SDN BHD	99,700	0.15
18 MR.F.N.HERFT	95,584	0.14
19 MR.P.B.PERERA	88,544	0.13
20 PEOPLES LEASING & FINANCE PLC/MR.K.	79,459	0.12
	<u>64,895,236</u>	<u>97.97</u>

Public shareholding

	As at 31st March 2020	% on Issued Shares
	No. of Shares	
Number of shares	<u>6,616,424.28</u>	<u>10.01</u>
Float adjusted market capitalization		129,020,273
	No. of Shares	% on Issued Shares
Number of shareholders	<u>601</u>	<u>99.19</u>

Directors' shareholdings

There is no share holding by the directors as at 31st March 2020

Number of Shares

No. of shares representing the stated capital	66,230,407
Class of share	Ordinary
Voting rights	One vote per Ordinary Share

Share performance

Net asset value per share as at 31st March 2020	25.4
Highest price per share for the interim period	21.2
Lowest price per share for the interim period	16.5
Last traded price per share as at 31st March 2020	16.7